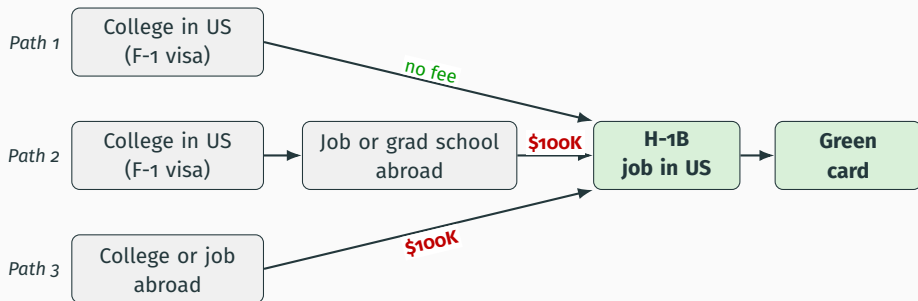


Real-World Example: Skilled Immigration to the US

Three typical paths to a green card for skilled workers. All three merge at the H-1B.



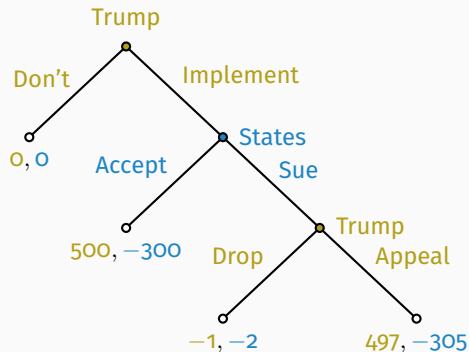
Sept. 2025: a presidential proclamation charges employers a **\$100,000 fee** for a new H-1B worker who is *outside* the US. A student switching from F-1 to H-1B *inside* the US (Path 1) is exempt.

The Lawsuit

- **Dec. 2025:** 20 states, led by California and Massachusetts, sue in federal court in Boston. (Ohio is not one of them.)
- Their argument: the fee is really a **tax**. Taxes are set by **Congress**, not the President.
- **June 2026:** Judge Leo Sorokin agrees and strikes down the fee: it “imposes a tax on H-1B petitions without the requisite delegation by Congress.”
- **July 2026:** The First Circuit Court of Appeals refuses to pause that ruling while the government appeals.
- **Sept. 2026:** The administration extends the policy through Sept. 2027. The fee is still blocked. The appeal continues, likely to the Supreme Court.

To keep things simple, we'll fold the Circuit Court and the Supreme Court into one “appeal” move, and assume the Supreme Court sides with the administration.

The Game



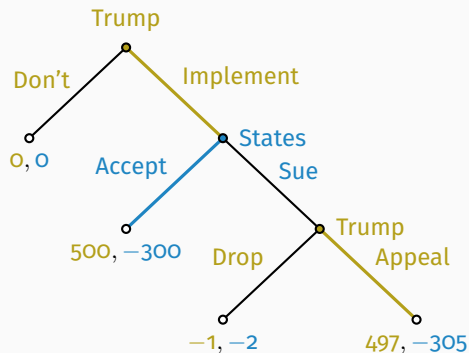
All payoffs in \$ millions. Rough guesses:

- $v = 500$: Trump's value of the policy
- $w = 300$: States' cost if it stands (universities, hospitals)
- District court: Trump 1, States 2
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If Trump drops the appeal, the fee is gone, but both have already paid for the district-court case.

What does backward induction predict?

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Backward induction: **Implement, Accept, Appeal**. The States should not sue!

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Changing the payoffs or adding chance moves can flip the prediction. **Getting the game right matters.**